The government seems to have fared better on inflation control. Despite supply chain breakdowns on account of Covid first and then the conflagrations in East Europe and West Asia, which impacted the global prices of basic items, average inflation from 2014-15 to 2023-24 (till November) was only 5.1 per cent, compared to 8.2 per cent during the 10 years of the Manmohan government (2004-14). Food inflation, though, remains high, especially during an election year, with the average being around 8.7 per cent since July 2023. Moreover, while parts of the economy are doing well, others are lagging, resulting in what economists refer to as a 'K-shaped' growth. Small and micro industries, which constitute a bulk of the sector's jobs, are still to recover from the aftershocks of Covid, though the government claims to have helped them through various schemes. Another aspect of that K-shaped growth is that while corporate wages have grown by an average 10 per cent, rural workers, including agriculture labour, and a segment of

Lack of jobs and high food prices are figuring high in the voters' concerns currently. K-shaped growth has also meant rural wages as well as demand remain low

HIT BANKING

THE CLEAN-UP ACT

The Modi regime has worked towards restoring the health of the banking sector by reducing bad loans and bringing judicial discipline in the insolvency process

THE GLOBAL FINANCIAL CRISIS OF 2008 SAW SEVERAL COUNTRIES resort to fiscal stimulus to bolster their economies. India was no exception. However, the massive capital infusion led to profligacy and a subsequent bad loan pile-up, triggering the 'twin balance sheet problem'—where corporates overleveraged themselves to the point of being unable to repay loans, and banks came under severe stress due to mounting non-performing assets (NPAs).

From around Rs 60,000 crore in March 2010, NPAs saw an over three-fold surge to Rs 2 lakh crore by March 2014, just before the Bharatiya Janata Party (BJP) assumed power at the Centre. By March 2018, they had further escalated to a staggering Rs 10.2 lakh crore, with public sector banks (PSBs) accounting for a whopping 80 per cent.

This enfeebled the banks, hampering their lending capabilities. With numerous companies grappling with issues related to land acquisition or procuring feedstock, a comprehensive code to address insolvency and bankruptcy of corporates and individuals also became imperative, ushering in judicial discipline in the process. The Insolvency and Bankruptcy Code (IBC) 2016, thus, aimed at addressing inadequacies in the process of winding up companies in the Companies Act 1956 and 2013. Even the Sick Industrial Companies (Special Provisions) Act 1985 had failed to deliver on this front. In all, 887 insolvent firms saw a resolution between late 2016, when the IBC was adopted, and December 2023. The total realisation for creditors stood at about Rs 3.2 lakh crore, or nearly 32 per cent of their admitted claims. This meant banks had to take huge 'haircuts' on their loans, but nevertheless saw some part of the dues being repaid. Meanwhile, further measures were implemented to reduce bad loans. By the end of CY2023, gross NPAs came down to Rs 4.85 lakh crore, the reduction attributed to the recovery of loans by banks as well as some big write-offs, though some critics have termed it as "window-dressing".

The Centre also carried out a major consolidation of PSBs to strengthen their balance sheets and improve their ability to lend. It started with the State Bank of India (SBI) acquiring five of its subsidiary banks in 2017. Today, there are only 12 PSBs, down from 27 that year. "We are happy to have restored the Indian banks to good health, but the entire sector needs a lot more vibrancy and we need a lot more banks," Union finance minister Nirmala Sitharaman told INDIA TODAY. This would be a mix of big and small banks, she added. ■

-M.G. Arun

₹4.85 LAKH CRORE Gross NPAs in Dec. 2023, down from Rs 10.2 lakh crore in FY18

₹3.2 LAKH CRORE Total realisation proceeds to creditors of insolvent firms (2016-23)

12 No. of public sector banks, down from 27 in 2017